

राष्ट्रीय कृषि और ग्रामीण विकास बैंक



NABARD

National Bank for Agriculture and Rural Development

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वित्तीय समावेशन और बैंकिंग प्रौद्योगिकी विभाग

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02 December 2014

The Managing Director/Chief Executive Officer
All State Co-operative Banks and
All District Central Co-operative Banks

Dear Sir,

Financial Inclusion - Assistance under Financial Inclusion
Fund (FIF) and Financial Inclusion Technology Fund (FITF) -
Information on various schemes-

As you are aware, NABARD has launched various schemes from time to time for extending support under FIF and FITF. We have consolidated details of these schemes (list given below) and the same are appended to this letter :

1. Data migration/feeding of PACS data to CBS-Support under FIF
2. Support for demonstrating banking technology under FIF
3. Support for setting up of Financial Literacy Centres under FIF
4. Support for ICT solutions under FITF
5. Operational support for ATM under FITF
6. Support for issue of RuPay Debit Cards by CBS enabled Co-op. Banks under FITF

In view of the importance given for financial inclusion under Prime Minister Jan Dhan Yojana (PMJDY), you are requested to implement these schemes and avail assistance from our Regional Offices.

In case any clarification is required, you may please approach our Regional Office in the State.

Yours faithfully

Bohra

(V.D. Bohra)

General Manager

Encl. : As above

गाँव बढ़े तो देश बढ़े
Gaon Badhe Toh Desh Badhe

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GUIDELINES ON SUPPORT AVAILABLE FOR COOPERATIVE BANKS FOR FINANCIAL INCLUSION

1. Data migration/feeding of PACS data to CBS-Support for Cooperatives under FIF

1.1 Objective

Great emphasis has been placed by NABARD for the issuance of RuPay Kisan card to the farmer community and as such issuance of RuPay KCC to PACS members will involve migration / feeding of member account details into the CBS of DCCB. As many DCCBs are facing staff constraints, the job may have to be outsourced. In order to encourage the Cooperative banks to comply with the Govt. of India timeliness for the issuance of RuPay Kisan card to its customers and in order to give impetus to the Cooperative sector, NABARD has designed a scheme to assist them in the process of Data migration / feeding.

1.2 Eligibility

(A) All Cooperatives which are fully CBS enabled (branch & HO module) will be eligible for support under this scheme.

(B) Decision has been taken by the DCCB to issue RuPay Kisan card to all PACS KCC account holders by the DCCB provided that PACS is also willing to participate in the RuPay Kisan Card project.

1.3 Scope of Support

A. Assistance up to Rs.10 per account under FIF

B. Banks may engage the services of suitable agency or appoint individual data entry operators.

C. In case the bank had used the services of any agency / individual data entry operators for data migration during the course of CBS implementation then bank may consider negotiating and engaging the services of the same entity.

D. DDM / Official from NABARD RO may be actively involved in overseeing the process of selecting the agency / data entry operators and update themselves with the progress made in data migration of PACS.

1.4 Extent of Support:

The extent of support will be 100% in North Eastern Region, Sikkim, Jammu & Kashmir, Uttarakhand, Jharkhand, Himachal Pradesh, Chhattisgarh and Andaman & Nicobar Islands and 90% of Rs.10/- per account for rest of the country.

1.5 Pattern of Assistance:

(A) Claim can be made by the cooperative bank after fully completing the migration / feeding of data of all PACS associated with it.

(B) Support will be provided on reimbursement basis.

(C) Bank to submit claim as per Annexure-4. The claim is to be supported by Board approval for issuance of RuPay KCC card and proof of payment by the bank for Data entry / migration to the agency / individual operator.

(D) Any other relevant supporting document from CBS indicating PACS wise number of accounts migrated / fed into the system is to be submitted by the bank.

1.6 Duration of Support

The support under the scheme is available till 31 March 2016.

1.7 Formats for Proposals/Claims seeking Assistance

The following information relating to our PACS Data Migration / Feeding for the purpose of issuance of RuPay KCC card is required to be submitted for the claim by the Bank:

(i) Format for seeking reimbursement for PACS Data Migration / Feeding is given at [Annexure 1](#).

2. Support for demonstrating banking technology under FIF

2.1 Objective-

To provide financial support to Cooperative Banks for demonstrating the usage of RuPay Kisan Cards on ATMs and POS machines/ micro ATMs. This medium of banking would encourage financial inclusion as well as create awareness about technology in rural banking.

2.2 Eligibility

The support will be extended to all the Banks who fulfil the following criteria:

- (i) Fully CBS enabled and online
- (ii) Bank should have joined National Financial Switch (NFS) or should have initiated the process for joining NFS.
- (iii) Obtained IIN from NPCI
- (iv) Planning to issue RuPay Kisan Cards to its customers.
- (v) Proposal to be approved by the Board of the Bank.
- (vi) The Number of Cooperatives bank supported under the scheme State Wise is as indicated in the table:

Sl. No.	State	Total No. of Banks		No. of mobile vans*
		SCB	CCBs	
1	Andaman & Nicobar	1	0	1
2	Andhra Pradesh	1	22	4
3	Arunachal Pradesh	1	0	1
4	Assam	1	0	1
5	Bihar	1	22	4
6	Chandigarh	1	0	0
7	Delhi	1	0	0
8	Goa	1	0	0
9	Gujarat	1	18	3
10	Haryana	1	19	3
11	Himachal Pradesh	1	2	1
12	J&K	1	3	1
13	Karnataka	1	21	4
14	Kerala	1	14	2
15	Madhya Pradesh	1	38	6
16	Maharashtra	1	31	5
17	Manipur	1	0	1
18	Meghalaya	1	0	1
19	Mizoram	1	0	1
20	Nagaland	1	0	1
21	Orissa	1	17	3

22	Puduchery	1	0	0
23	Punjab	1	20	3
24	Rajasthan	1	29	5
25	Sikkim	1	0	1
26	Tamil Nadu	1	23	4
27	Tripura	1	0	1
28	Uttar Pradesh	1	50	8
29	West Bengal	1	17	3
30	Chhattisgarh	1	6	1
31	Jharkhand	1	8	1
32	Uttarakhand	1	10	2
	Total	32	370	63

* The number of mobile vans for each state has been decided on the basis of total number of DCCBs present in each State. If there is any change in the total number of DCCBs due to license issues, non-compliance, etc., then there will be changes in the number of mobile vans available for the state.

2.3 Scope of Support and Operationalization of the scheme.

- A. Under this scheme, a mobile van fitted with ATM and POS machines/ micro ATMs will visit villages in the area of operation of the Cooperative Banks and will work primarily as a literacy tool by demonstrating the use of ATMs/ POS machines/micro ATMs. The Banks will also provide financial literacy material about the KCC debit cards, ATM services and POS terminals/ micro ATMs to be provided in vernacular languages in the mobile van.
- B. The assistance will be utilised for a Mobile Van, ATM, GPRS Router, UPS, POS terminal/Micro ATM etc.(and any other incidental expenditures linked to the project) and financial education material in vernacular language.
- C. The assistance will be up to Rs. 10 lakh. In case of Cooperative Banks, it has been decided to support one sixth of the DCCBs in each State on First come First Served basis.
- D. The proposals for the mobile van are to be supported by relevant documents (quotations, board approval etc.) while submission to NABARD.
- E. The proposal should mandatorily include an ATM, as the mobile van only for the demonstration of smaller gadgets like micro ATM/POS is not justified.
- F. ATMs in the mobile van are to be used for demonstration purpose only.
- G. In case of Cooperative Banks, the Banks are required to submit a specific plan of action for issuance of RuPay Kisan Cards to the PACS customers.

2.4 Extent of Support:

The extent of support will be 100% in North Eastern region, Sikkim, Chattisgarh, J&K, Uttarakhand, Jharkhand, Himachal Pradesh and Andaman & Nicobar Islands and 90% for the rest of the country.

2.5 Pattern of Assistance:

The support would be extended on reimbursement basis once the supporting documents are submitted.

2.6 Duration of Support

The support under the scheme is available till 31 March 2016.

2.7 Formats for Proposals/Claims seeking Assistance

Bank has to submit a detailed project report and cost estimates of various components along with the supporting documents to the NABARD Regional Office.

3. Support for setting up Financial Literacy Centres (FLCs) by Cooperative Banks

3.1 Major Objectives:

- i. To provide financial counselling services in a non-intimidating environment using local languages.
- ii. To advocate advantages of connecting with the formal financial sector.
- iii. To provide education on financial planning, responsible borrowing, proactive and early savings, debt counselling, micro pension and insurance.
- iv. To educate about various financial products and services available from the formal financial sector.
- v. To formulate debt restructuring plans for borrowers in distress and recommend the same to formal financial institutions for consideration.
- vi. To take up any other such activities that promote financial literacy, awareness about banking services, financial planning and amelioration of debt related distress of an individual.

3.2 Broad guidelines for FLCs

- i. The financial literacy efforts of FLCs will encompass basic issues like the need for saving and starting early savings, making use of bank services, linking borrowing with repayment capacity, timely repayment, insurance and pension.
- ii. The FLCs and rural branches of the banks will also conduct outdoor Financial Literacy Camps with focus on financially excluded people. For the purpose, the help of experienced NGOs may also be taken.
- iii. As far as possible, the FLCs should be opened in the premises of the bank itself.
- iv. The basic focus of the FLC will be financial literacy.
- v. FLC staff will be provided training to work as effective trainers. There should be also a system of providing periodic knowledge up-gradation on various banking products and services.
- vi. Banks may also prepare material on above illustrative topics in vernacular languages using stories and pictorial representations to disseminate information on the four basic banking products i.e. (a) savings cum overdraft account, (b) pure savings products, ideally a recurring deposit scheme, (c) remittance products for electronic benefits transfer and other remittances, and (d) entrepreneurial credit in the form of General-purpose Credit Card (GCC) or Kisan Credit Card (KCC).
- vii. FLCs and rural branches of banks should maintain record in the form of a register containing details such as name, gender, age, profession, contact details, whether banked or un-banked, details of services availed etc.
- viii. The Head / Controlling Offices of the concerned banks would monitor the financial literacy efforts undertaken by their FLCs /Branches through periodic reporting and also by resorting to random on-site visits. They would periodically (at least once in a year) undertake impact evaluation of their literacy efforts so as to make way for continuous improvement. Besides, a

quarterly statement in the attached format (**Annexure - 2**) should be submitted to NABARD RO, indicating the major tasks undertaken by FLC.

ix. The assistance under FIF is project based, i.e. banks seeking assistance are required to get the proposal approved from the concerned Regional Office of NABARD.

x. The proposal / claim may be obtained as per formats enclosed (**Annexure-3 and Annexure-4**).

xi. In addition to the CAPEX / OPEX support for setting up FLCs, the banks are also eligible for assistance at the prescribed rates for conducting other approved programmes through the FLCs.

3.3. The broad cost parameters of CAPEX and OPEX may be as under:

➤ CAPEX (One time)

- i. Cost of furniture
- ii. Cost of LCD Projector and laptop
- iii. Cost of computer
- iv. Public address system
- v. Screen for power point presentation
- vi. Cost of portable power system

➤ OPEX (for one year)

- i. Rent of the premises
- ii. Salary of staff
- iii. Electricity charges
- iv. Telephone and internet charges
- v. Cost of organizing camps / training programmes at the field level
- vi. Cost of printing and stationery and publications to be used for publicity purposes

3.4 Maximum total Outlay : The total outlay may comprise capital expenditure (CAPEX) or operational expenditure (OPEX) for one year or any combination of CAPEX and OPEX within this total outlay, **subject to a maximum of Rs.5.00 Lakh per FLC.**

3.5The quantum of support for setting up of FLCs will be:

- i. 100% of total outlay in North Eastern Region and Sikkim, Jammu & Kashmir, Uttarakhand, Jharkhand, Himachal Pradesh, Chhattisgarh and Andaman & Nicobar Islands.
- ii. 90% in other areas.

4. Support for ICT solutions under FITF (Support for RuPay Kisan Cards and PoS/ Micro ATM)

4.1 Objective

The overall objective of the scheme is to provide technology support through POS and ICT cards (RuPay Kisan cards) to enable the Cooperative Banks to provide doorstep banking facilities. This will enable the clients of Cooperative Banks to connect to National Payment system and avail all types of financial services.

4.2 Eligibility

- I. Cooperative Banks/ Branches should be on CBS platform.
- II. Costs as approved by the bank management are adopted.
- III. Support from UIDAI and any other agencies, if availed to be excluded from the claim.
- IV. The Bank is to ensure that certification standards as specified by various agencies are being adhered to for RuPay Kisan Cards and POS machines/micro ATMs.

4.3 Scope of Support

For Cooperatives there are three types of support available under this scheme.

- A. **'Cost of Micro ATM/POS'** terminals up to Rs.25,000/- per terminal. The Micro ATM(POS) devices should adhere to the technical specifications approved by IBA-IDRBT and UIDAI 1.5.1 Standard. The assessment for micro ATM devices may be done as below.
 - (i) No. of branches where the terminals are to be placed.
 - (ii) No. of PACS to be covered
 - (iii) Spare terminals as back up in the bank (up to 10% of the total, if required by the Bank).
- B. **'Cost of printing and issuing of RuPay Kisan cards'** upto Rs.25/- per card (should be owned by the Bank and conform to standards specified by NPCI). No reimbursement will be made if the card is owned by the service provider. The Card can be a non- personalised card, which can be given as a part of the 'Welcome Kit' to the Customer.

In case of agreement between the bank and the Technical Service Provider (TSP) is to make payment on per account basis, transaction cost (should include cost of the Software, hardware, networking etc.) will be considered for 3 years. It will be on reimbursement basis.

- C. **'Cost of Integration between the POS and CBS server'**.

4.4 Operationalization of scheme

Cooperative Banks may not require BC services but only technology support for operationalization of ATM, POS terminal/ micro ATMs. Banks may approach the Technology Service Provider (TSP) approved by NPCI for these services.

4.5 Extent of Support:

The support to Cooperative Banks in these cases is 100% (i. e Rs.25,000/- for POS/Micro ATMs and Rs.25/- for RuPay Kisan Cards-) in NE regions, Sikkim, Chattisgarh, Jammu & Kashmir, Uttarakhand, Jharkhand, Himachal Pradesh and Andaman & Nicobar Islands and 90% of Rs. 25,000/-for Micro ATMs and 90% of Rs. 25/- for RuPay Kisan Card or 90% of the actual cost, whichever is lower, in other States.

4.6 Pattern of Assistance:

The concerned Cooperative Bank may work out a project report covering the total number of POS terminals, RuPay Kisan Cards required and the cost of integration between the POS terminals and CBS of the Bank.

The release pattern for the projects sanctioned based on the proposals submitted by the Cooperative Banks for the Micro ATM(POS) devices and RuPay Kisan Cards will be as under:

- A. Cost of POS terminals- Release of grant will be on reimbursement basis.
- B Banks can submit the claim for reimbursement on quarterly basis subject to the achievement of a minimum of 10% of the sanctioned number of RuPay Kisan Cards, with the exception of last installment.

Illustration:

- a. Number of RuPay Kisan Cards sanctioned- 1,00,000
- b. The bank can claim for reimbursement after distribution of a minimum of 10,000 cards.
- c. Example if the bank's first claim is for 13,000 cards and if subsequent claims are in multiples of 10,000, the final claim can be of 7000 cards.

4.7 Duration of Support

The assistance will be extended for a period of 3 years from the date of sanction of the project.

4.8 Formats for Proposals/Claims seeking Assistance

The proposals/claims seeking assistance under the scheme may be made to NABARD Regional Office as per **Annexure 5**.

5. Operational support for ATM under FITF

5.1 Objective-

Cooperative Banks are being encouraged to provide RuPay Kisan Cards to their clients. These cards will be used in the ATM/ micro ATMs with Agri. vendors which will result in operational expenditure for the Cooperative Banks. In order to encourage ATM penetration in rural areas also, NABARD has designed a scheme to assist Cooperative Banks to venture into ATM domain of personal banking. NABARD support for ATMs under FITF for all Cooperative Banks under this scheme will cover only operational Cost and no capital expenditure is covered.

5.2 Eligibility

All Cooperative Banks which are fully CBS enabled and have been issuing RuPay Kisan cards are eligible for the support under this scheme.

5.3 Scope of Support

There are three types of supports available under the scheme:

- A. 'ATM Add-On support for CBS'**- This is essentially a cost related to the development and maintenance of a basic software patch which enables the CBS of the bank to interact with the ATM network. The cost involved in enabling this ATM Add-on in the CBS so as to make it ATM capable will be supported under FITF. The reimbursement support for this component will be as below:
 - (i) **ASP model of CBS:** For Banks running its CBS on ASP model (irrespective of whether or not they have adopted CBS under NABARD model) the ATM Add-On for CBS will be recurring cost/ fee based on periodicity. The ATM Add-On fee has been fixed at Rs. 580/- per branch per month for three years.
 - (i) **Ownership Model of CBS:** If the Bank runs its CBS on ownership model, ATM add-on will be a one time cost for banks. An amount of Rs.20,000/- (imputed ATM Add-On cost for 3 years) per branch will be reimbursed as ATM Add-On fee for banks who adopt ownership model
- B. Switching Fee-**For the Banks which adopt the sponsorship model to join NFS, involve Switching Fee. This fee is required to be paid to the Switch provider who owns and maintains the ATM switch. An amount of up to Rs.3/- per transaction for all transactions will be reimbursed towards switching fee charge.
- C. Interchange/Transaction Charges-** The scheme will cover transactional cost/Interchange charges up to Rs.15/- per KCC transaction arising out of the use of RuPay Kisan Cards on an ATM other than the parent Banks ATM of the customer including that of the white label ATMs as and when these ATMs will be deployed in the field.

The support is available to all the Cooperative Banks.

5.4 Extent of Support:

- A. ATM Add-On support for CBS-** the reimbursement will be 100 % for North Eastern Region, Sikkim, Chhattisgarh, J& K, Uttarakhand, Jharkhand, Himachal Pradesh and Andaman & Nicobar Islands and 90% for the rest of the country.

B. Switching Fee- the reimbursement will be 100% for North Eastern Region, Sikkim, Chhattisgarh, J& K, Uttarakhand, Jharkhand, Himachal Pradesh and Andaman & Nicobar Islands and 90% for the rest of the country.

C. Interchange / Transaction Charges:- The reimbursement will be 100% (i. e Rs.15 inclusive of service charges) for North Eastern Region, Sikkim, Chhattisgarh, J& K, Uttarakhand, Jharkhand, Himachal Pradesh and Andaman & Nicobar Islands and 90% of Rs. 15/-(inclusive of service charges) for Cooperative Banks in rest of the country.

If the transaction charge for any RuPay Kisan Card ATM transactions including the service tax is within Rs.15/- then the service tax can also be included as an eligible amount which can be supported. However, if the transaction cost is less than Rs. 15/- then the extent of support would be on actual basis as per the eligibility norms (i. e 90%/100% as applicable).

5.5 Pattern of Assistance:

A. ATM Add-On support- will be on reimbursement basis. For ASP model of CBS, support will be provided for a period of 3 years from the date of sanction of the project and for ownership model of CBS it will be a one time support.

B. Switching Fee- Release of grant towards switching fee will be for a period of 3 years from the date of sanction of the project and the support will be on reimbursement basis.

C. Interchange/ Transaction Cost- will be on reimbursement basis.
For all the three types of Support reimbursement will be on Quarterly basis.

5.6 Duration of Support

The support for ATM Add-On support, Switching Fee and Interchange/ Transaction Cost is available up to 31 March 2016.

5.7 Formats for Proposals/Claims seeking Assistance

- A) While submitting the proposals/ claims seeking assistance for Operational Cost of ATMs, the Cooperative Banks should indicate the Name of the Bank, CBS Model adopted by the Bank, Total Number of Branches on CBS, Total Number of Transactions, the actual switching fee per transaction, total number of OFF US transaction and the actual transaction fee paid by the bank for the OFF US transactions.
- B) Information on OFF US transactions should be submitted in the form of a report generated from CBS.
- C) Claims will be settled by the NABARD Regional Office on a Quarterly basis.
- D) Format of Project Report Seeking Assistance for Interchange Charges is given at [ANNEXURE 6](#).
- E) Format for seeking Reimbursement on Quarterly basis for Interchange Charge is given at [ANNEXURE 7](#)

6. Support for issue of RuPay Debit Cards by CBS enabled Cooperative Banks under FITF

6.1. Eligible Components :

- a) Cost of RuPay Debit Cards as per NPCI standards,(including printing and issuing) up to Rs. 25/- per card. The cards should be owned by the bank.
- b) Cost of integration between Micro ATMs/POS terminals and CBS Server of the bank
- c) Cost of Micro ATMs/ POS terminals up to Rs. 25,000/- per device.

OR

- c) Transaction charges on per account/ transaction basis for the TSP under ASP model.

Notes:

a) The assistance will be available for issue of RuPay Debit Cards only to those customers whose accounts are opened under the Financial Inclusion Plan of the Co-op. Bank and not to the existing account holders. The bank will have to give a certificate to this effect while submitting the proposal or lodging the claim.

b) In case Micro ATM/ POS terminal has already been installed at any banking outlet for RuPay Kisan Cards, the same device can be used for RuPay Debit Card at that outlet and no separate assistance will be available.

c) While the sanctions for cost of RuPay Debit Cards and Micro ATMs may be accorded at RO level, the proposals for Micro ATM/ POS rentals and TSP's charges (ASP Model) may be sent to HO through our Regional office, with complete break-up of such charges.

6.2. Extent of Assistance:

The extent of support will be 100% in North Eastern Region, Sikkim, Chhattisgarh, Jammu & Kashmir, Uttarakhand, Jharkhand, Himachal Pradesh and Andaman & Nicobar Islands and 90% in the rest of the country.

6.3. Duration of Assistance:

The assistance will be extended for a period of 3 years.

6.4. Pattern of Assistance:

- a) Cost of RuPay Debit Cards: Release of assistance will be as under:-

After signing of MOA	50% of the sanctioned amount
After achievement of 75% of the deliverables of the project	25% of the sanctioned amount
After achievement of 100% of the deliverables of the project	25% of the sanctioned amount

- b) Cost of integration between Micro ATM/POS terminals and CBS Server : Release of assistance will be on reimbursement basis.

c) Cost of Micro ATMs/ POS terminals: Release of assistance will be on reimbursement basis.

OR

b) Micro ATMs / POS rentals and Micro ATMs/ POS related charges (ASP Model): On reimbursement basis.

Proposals regarding support under FITF may be submitted to NABARD as per **Annexures 8(a) and 8(b)**

Note: For technical specifications of RuPay Card and Micro ATM/ POS terminal, procedure to obtain membership of NPCI, as also various other requirements, please see **Annexure-9**.

7. General Agreement for Projects-For Cooperative banks

For assistance under FIF and FITF to all schemes indicated above the Banks are required to sign General Agreement between NABARD and the Banks indicated as per [Annexure 10](#).

Claim Format for Seeking Reimbursement for PACS Data Migration/Feeding

(To be submitted on the letter head of the Bank)

The Chief General Manager

..... Regional Office

NABARD

Dear Sir

Sub: Project Report Seeking Assistance for Interchange Charges.

We are submitting the following information relating to our PACS data migration/feeding for the purpose of issuance of RuPay Kisan Cards:

SN	Particulars	Bank's comments
1	Name of the Cooperative bank	
2	Total Number of PACS associated with the CCB	
3	Total number of PACS willing to issue RuPayKisan Cards	
4	Total number of PACS member accounts which has been migrated /fed into CBS	
5	Institution Identification Number(IIN) issued by NPCI	
6	Date of Board approval for the issuance of RuPay Kisan Cards	
7	Tentative date for the issuance of RuPay Kisan Cards	
8	Name of the agency / No. of individual operators employed	
9	Cost of data entry per account	
10	Total cost	

Certified that the above information are in order

Chief Executive Officer
_____DCCB

Encl: i) Proof of payment

ii) Report from CBS indicating PACS wise no. of Accounts

FINANCIAL LITERACY CENTRES – Report for the quarter ended _____

Name of the Bank :

Sr. No.	State	District	Location	Address
1	2	3	4	5

Date of Start of FLC	No. of persons who availed indoor services during the quarter	No. of outdoor activities undertaken during the quarter	Type of outdoor activities undertaken during the quarter	No. of persons who participated in outdoor activities during the quarter	Number of Accounts opened
6	7	8	9	10	11

ANNEXURE - 3**Proposal for establishment of Financial Literacy Centre -
Assistance under Financial Inclusion Fund**

1	Name of the bank with address of controlling office (with phone/fax no. & e-mail)	
2	District & State where FLC to be opened	
3	Location of FLC	
4	Name of bank/agency, if any, partnering in establishment/running of FLC and details of its share/contribution	
5	Constitution of FLC (Society or Trust)	
6	Composition of Board/Managing Committee	
7	Activities proposed to be performed in the first two years: i) ii) iii)	
8	Administrative Set up	
9	Infrastructure to be provided (like phone, fax, e-mail, mobile van, call centre, etc.)	
10	Methodology of counselling (in person, through phone/fax/post/e-mail/ workshops/ meetings, etc.)	
11	Internal mechanism for monitoring the functioning of FLC	
12	Any other relevant information	
13	Estimated Cost(Rs.) a) Capital Cost Amount i) Furniture ii) LCD /Projector iii) Computer (Desktop /Laptop) iv) Public Address System v) Screen for Power point presentation vi) Portable power system vii) Any other (Please specify) b) Operating Cost (for one year) i) Rent of Premises ii) Salary of staff	

	iii) Electricity charges iv) Telephone/ internet charges v) Cost of organising camps/seminars vi) Printing & Stationery vii) Publicity material viii) Cost of training of trainers (including faculty fees) ix) Any other (Please specify) Total:	
14	Amount eligible for assistance (100% or 90% or 80% of 13 above or Rs.5 lakh whichever is lower):	

Certified that:

1. the FLC will be established and run as per NABARD guidelines.
2. the FLC will provide advice to all customers and will be bank neutral; and
3. the functioning and effectiveness of the FLC will be got evaluated by a third party on completion of two years of its existence.

Place:

Date:

Authorised signatory

ANNEXURE - 4

Claim for Assistance under Financial Inclusion Fund
for establishment of Financial Literacy Centre

(Reference: NABARD sanction letter No. _____ dated _____)

S.No.	Particulars			
1	Name of the bank with address of controlling office (with phone/fax no. & e-mail			
2	District & State where FLC opened			
3	Name & Address of FLC (with phone/fax no. & e-mail)			
4	Date of establishment of FLC			
5	Whether FLC is a Society or Trust (Indicate Registration No. with date of Registration)			
6	Constitution of Board/Managing Committee			
7	Brief on Sub-centres/Mobile units of FLC, if any			
8	Particulars of staff deployed			
S.No.	Name	Qualification	Status in FLC	Experience/ background
9	Infrastructure provided (like phone, fax, e-mail, mobile van, call centre, etc.)			
10	Expenditure incurred (Rs.) a) Capital Cost Amount i) Furniture ii) LCD /Projector iii) Computer (Desktop /Laptop) iv) Public Address System v) Screen for Power point presentation vi) Portable power system vii) Any other (Please specify)			

	b) Operating Cost (for one year) i) Rent of Premises ii) Salary of staff iii) Electricity charges iv) Telephone/ internet charges v) Cost of organising camps/seminars vi) Printing & Stationery vii) Publicity material viii) Cost of training of trainers (including faculty fees) ix) Any other (Please specify) Total:	
11	Amount sanctioned by NABARD:	
12	Assistance already availed, if any	
13	Balance available (11-12):	
14	Assistance now claimed:	

Certified that:

1. the FLC has been established as per NABARD guidelines.
2. the FLC provides advice to all customers and is bank neutral; and
3. the functioning and effectiveness of the FLC will be got evaluated by a third party on completion of two years of its existence.

Place:

Date:

Authorised signatory

Support for ICT Solution for Cooperatives from FITF

The Chief General Manager

NABARD

.....Regional Office

Dear Sir

Proposal for assistance under FITF for RuPay Kisan Cards and Micro ATMs

We hereby submit a project seeking Grant Assistance under prevailing guidelines of FITF

SN	Particulars	Details
1	Technical Details of the Bank are as under	
a)	Name of the Sponsor Bank	
b)	Name of the FI service vendor	
c)	Name of the CBS service provider	
d)	Name of ATM service provider	
e)	Name of vendor & model number of Micro ATMs being purchased	
2	NPCI has allotted the following IIN number(s) to our bank:	
a	IIN for RuPay Aadhar Kisan Card is:	
b	IIN for RuPay without Aadhar Kisan Card is:	

3.We confirm that:

a) The bank's board has approved undertaking of this project in its..... Board Meeting held on.....

b)The designs of both Aadhar and Non-Aadhar cards have been approved by NPCI.

c) We have issued instructions to our branches to open Aadhar based A/cs and updation of existing A/cs with Aadhar No. wherever Aadhar No. or Aadhar Enrolment no. is available.

d) Micro ATM devices complying with UIDAI 1.5 standards and any subsequent modifications thereafter will be purchased.

4. In this connection the following information relating to the project particulars along with respective costs is submitted.

SN	Details of Support	Number	Amount
1	Number of operational KCC accounts		NA
2	Number and cost of KCC RuPay ATM cards @ Rs..... each.		
3	Number of Micro ATM terminals owned by the bank, to Be deployed @ Rs..... each A. Number of Branches where the terminals are to be placed B. Number of PACS covered C. up to 10 % additional backup machines		
4	Total cost project		

We also confirm that the above RuPay Kisan Cards will be issued by.....

and Micro ATMs will be operationalized by

Chief Executive Officer

_____ Cooperative bank

Project Report Seeking Assistance for Interchange Charges for Cooperative Banks

(To be submitted on the Letter Head of the Bank)

The Chief General Manager

..... Regional Office

NABARD

Dear Sir

Sub: Project Report Seeking Assistance for Interchange Charges, ATM Add On and Switching Fee.

We are submitting the following information relating to our bank's interface with the ATM network system for claiming reimbursement of expenses arising out of RuPay Kisan Cards:

SN	Particulars	Banks comments
1	Name of the Cooperative Bank	
2	Whether Banks CBS on ASP or Ownership model	
3	Name of the Sponsor Bank	
4	Name of the TSP for Switching	
5	Number of ATMs in installed by the Bank	
6	Number of KCC accounts in the Cooperative bank	
7	Number of Branches where the ATMs are to be installed	

We agree to submit quarterly claims seeking reimbursement of interchange charges arising on RuPay Kisan Cards issued by our Bank to our KCC account holders.

Chief Executive Officer

_____ Cooperative bank

Format for seeking Reimbursement on Quarterly basis for Interchange Charge from NABARD for Cooperative Banks

SN	Information	Comments
1	Name of the Cooperative Bank with Sponsor Bank	
2A	Total Number of KCC account holders	
2B	Total Number of KCC account holders with RuPay ATM cards	
3	A) Number of Financial transaction	
	B) Number of Non- Financial transaction	
	Total number of transactions on these KCC RuPay cards	
4	A) Payment made for Financial transaction	
	B) Payment made for Non- Financial transaction	
	Total payment made by the Cooperative Banks as Interchange charges (Information on OFF-Us transactions should be submitted in the form of report generated from CBS)	
	Amount claimed @90% or 100% of 4 above	

Certified that the above claim is based upon CBS data and is in order.

Chief Executive Officer

_____ Cooperative Bank

Support for ICT Solution for Cooperatives from FITF (ASP Model)

Name of SCB / CCB: _____

Name of District : _____

Sr. No.	Total No. of PACS with the Bank	No. of PACS to be issued with POS	No. of RuPay cards to be issued#	RuPay Card + personalisation# (Unit Cost@)	Total Card Cost (4 x 5)	Less amount recd./ claimed from other agencies	Net amount (5 - 6)	Claim ^{&} @ 100% or 90% of (7)
1	2	3	4	5	6	7	8	9
Integration charges if any (specify)								
Grand Total								

RuPay cards issued must be owned by bank and no reimbursement will be made in case of RuPay Cards owned by the service provided

@ As approved by Bank Management

& Strike out whichever is not applicable

It is certified that :

- 1) Cards issued are as per NPCI standards mentioned for RuPay cards
- 2) Costs as approved by the bank management are adopted

Authorised Signatory of Bank

Annexure - 8(b)

Support for ICT Solution for Cooperatives from FITF (ASP Model)

Name of SCB / CCB : _____

Transaction Charges

Sr. No.	No. of accounts	No. of transactions	Cost per transaction*	Total (3 x 4)	Support from FITF @ 90% or 100% of (5)
1	2	3	4	5	6

* All components of transaction cost are to be given separately

Authorised Signatory of the Bank

Annexure – 9. Methodologies to join National Financial Switch (NFS) and INFINET Network

1. Methodology to join National Financial Switch (NFS) for ATM & POS Application

1.1. Direct member of NFS

The bank should fulfill the following General and Technical Eligibility criteria for becoming direct member of NFS

General Criteria

- Bank should have valid Banking License from RBI.
- Bank should have Current A/c with RBI
- Bank should have networked ATM and own their ATM Switch
- Bank should be RTGS Member of RBI

Technical Criteria

- Use of HSM (External Host Security Module) for encryption and decryption
- FIPS 140-1/140-2 or FIPS 197 certified crypto product (HSM Standard)
- Pin Generation and verification using HSM
- ATMs and POS should have unique Key per terminal
- Use of Double length Triple Des keys for terminals and translations
- Mandatory Pin, CVV1 and expiry date verification by issuers

A bank fulfilling all the above criteria may submit the application form to NPCI in the prescribed format. NPCI issues the direct member certificate after examining the all the details submitted by the bank

1.2. Indirect member (Sub member) of NFS

A bank that does not fulfill the General and Technical Criteria mentioned in 1.1 can join NFS as a sub member. In order to join NFS through a Sponsor Bank which is already a direct member of NFS the bank may follow the following steps:

- i. May negotiate with any direct member bank of NPCI.
- ii. Discuss the commercial terms
- iii. The Sponsor Bank should specify the Application Service Provider (ASP) who will be offering switching services to the bank.
- iv. The ASP should be a certified ASP of NPCI; else the ASP may undergo the necessary certification.
- v. The Sponsor Bank should assume the role of being the sole clearing and settlement agency

1.3. Steps to be followed by banks for the issue of RuPay debit / KCC cards

- i) Bank to take internal board approval for obtaining IIN from NPCI.
- ii) a) Direct Member: Bank to approach NPCI with the board approval for obtaining Institution Identification Number (IIN).

- b) Indirect member: Bank to approach its Sponsor Bank with the board approval for obtaining Institution Identification Number (IIN) from NPCI. IIN application to be sent by the bank to NPCI, with an endorsement letter from the Sponsor Bank.
- iii) Allotment of RuPay Kisan Card IIN by NPCI
- iv) Sharing of card design files and RuPay card specification by NPCI
- v) Sharing of sample embossa file and testing by Bank and NPCI (detailed testing procedure will be shared by NPCI)
- vi) On successful testing go live status accorded directly / in conjunction with the Sponsor Bank
- vii) Banks to select card vendor who has sufficient expertise in the card printing field.
- viii) The RuPay Kisan Cards will work at any of the 1,00,000 plus ATMs of more than 68 member banks on the National Financial Switch (NFS) network.
- ix) The RuPay Kisan Cards are designed to work at micro ATMs with Aadhaar Authentication / or local biometric authentication. The Technical specifications of the Card to be as per NPCI defined standards and micro ATM specifications to be as per V1.5 (UIDAI, NPCI, IBA).

2. Methodology to join of RTGS / NEFT Network

2.1. Direct Membership

Eligibility criteria

- Membership is open to all licensed banks.
- The entity should satisfy the following Financial Criteria –
 - i. Minimum CRAR of 9% (as per the latest audited balance sheet);
 - ii. Net NPAs below 5% (as per the latest audited balance sheet);
 - iii. Minimum net-worth of Rs. 25 crore; and
 - iv. Recommendation of the regulatory department concerned.
 - Apply to RBI in the prescribed format
 - The entity on fulfilling the access criteria would simultaneously be granted membership to INFINET, be eligible for opening current account at the Deposit Accounts Department (RBI, Mumbai), SGL/CSGL account (RBI, Mumbai),
 - Bank shall at its own cost and responsibility install and maintain in good order the RTGS / NEFT Infrastructure (hardware, software, networking and security products), as required/recommended by the RBI for the purpose.
 - RTGS members should upgrade/modify/replace such Computer Systems (hardware, software, networking and security products) and other associated components in this regard from time to time as directed by RBI.
 - The Computer Systems should be located securely within each RTGS member's premises such that access to them is restricted to that member's authorised personnel only.

2.2. Indirect Membership

Banks which fail to fulfill the access criteria mentioned in 2.1 or because of cost considerations can join RTGS / NEFT Network as a Indirect member. To join RTGS / NEFT Network as an Indirect member, banks may follow the following procedure:

- i) May negotiate with any direct member bank of RTGS/NEFT Network (Sponsor Bank).

- ii) Discuss the commercial terms. (The charges for customer transactions of sub-member cannot exceed the charges applicable to customers of sponsor banks/direct members of the centralised payment systems viz., RTGS and NEFT.)
- iii) Apply for a sub-member IFSC from the Sponsor bank.
- iv) There will be no branch-wise IFSC number – only bank-wise.
- v) Establishment of Network connectivity between the Sub member bank and the Sponsor bank.
- vi) Banks will have to open current accounts with the Sponsor Bank for settlement of transactions.
- vii) Banks will have to maintain a minimum balance in the current account as may be decided by the Sponsor bank.
- viii) The sponsor bank would be responsible for sending/receiving all the transactions/messages on behalf of their sub-member.
- ix) Aspects relating to operational feasibility, risk mitigation, fund settlement, collateral, etc. have to be taken care by the sponsor bank.
- x) The sponsor bank should put in place a risk management framework and a system of continuous monitoring of the risk management practices of sub-member/s that they desire to sponsor. The risk management framework should be approved by the Board of the sponsor bank.
- xi) The sponsor bank under this arrangement will assume complete responsibility for the settlement of all transactions by/on the sub-members.
- xii) Redressal of all customer complaints / grievance would be the responsibility of the sponsor bank.
- xiii) Sponsor bank will provide daily report for all transaction so as to enable the client bank to reconcile the transactions.

ANNEXURE 10 - FIF and FITF –General Agreement for Grant Assistance between the Bank and NABARD.

Format for FIF

GENERAL AGREEMENT FOR GRANT ASSISTANCE

THIS GENERAL AGREEMENT FOR GRANT ASSISTANCE executed at on day ofTwo thousand and

BETWEEN

National Bank for Agriculture and Rural Development, a Statutory Corporation established under the National Bank for Agriculture and Rural Development Act, 1981 and having its Head Office at Plot No. C-24, G-Block, Bandra-Kurla Complex, Bandra (East), Mumbai - 400051, and one of its Regional offices at _____ represented by its hereinafter referred to as “NABARD” (which expression shall, unless repugnant to the context or meaning thereof, includes its successors and assigns) **OF THE FIRST PART**

AND

_____ a Bank incorporated/established under _____ and having its registered / Head office at _____ hereinafter referred to as “the _____ ” (which expression shall, unless repugnant to the context or meaning, includes its successors and assigns) **OF THE SECOND PART**

WHEREAS

1. Union Finance Minister, in his budget speech for the Financial year 2007-08, announced creation of a **Financial Inclusion Fund (FIF)** with an overall corpus of Rs. 500 crore, with initial funding to be contributed by the Government of India (GoI), Reserve Bank of India

(RBI) and NABARD in a ratio of 40:40:20 to support developmental and promotional activities with a view to securing greater financial inclusion, particularly among weaker sections, low income groups and in backward regions / hitherto unbanking areas (hereinafter referred to as "financial inclusion programme")

2. Pursuant thereto, NABARD established fund in NABARD known as a Financial Inclusion Fund, inter-alia, to provide grant assistance to eligible institutions engaged in financial inclusion programme and also formulated Financial Inclusion Fund Guidelines (hereinafter referred to as “**guidelines**”) for implementation of Financial Inclusion programme.

3. (name of the bank) having extensive experience and expertise in the matter of conceptualization and implementation of financial inclusion programme had approached NABARD with a request to sanction to grant assistance for implementing financial inclusion programme.

4. NABARD is agreeable to sanction to the (name of the bank), grant assistance for the aforesaid financial inclusion programme subject to the general terms and conditions as mentioned in this GENERAL AGREEMENT FOR GRANT ASSISTANCE and the special terms and conditions as mentioned in the sanction letter(s) issued by NABARD from time to time.

5. For the purpose of financial inclusion programme, NABARD has right to sanction proposals as submitted by (name of the bank), with condition(s) as NABARD think fit for the proper utilization of grant and same shall be binding on the SECOND PARTY.

WHEREAS the parties are desirous of executing GENERAL AGREEMENT FOR GRANT ASSISTANCE with a view to record the broad terms and conditions mutually agreed to, by and between them subject to working out the modalities / manner and terms of implementation in due course as may be agreed between the parties.

**NOW THEREFORE THIS GENERAL AGREEMENT FOR GRANT ASSISTANCE
WITNESSETH THAT**

Inconsideration of NABARD having provided grant assistance/agreed to provide, from time to time, grant assistance to the (name of the bank), to enable the agency/institutions to carry out the purpose for which the said grant assistance is provided (**financial inclusion programme**), the parties hereby agree to record and confirm that the grant assistance is/shall be given on the general terms and conditions as contained in this GENERAL AGREEMENT

FOR GRANT ASSISTANCE and special terms and conditions as mentioned in the respective sanction letter/s.

I. It is agreed that :

(a) The copy of the guidelines annexed herewith as "**Annexure I & II**" shall be treated as part and parcel of this GENERAL AGREEMENT FOR GRANT ASSISTANCE.

(b) Apart from the terms and conditions given in this agreement, specific terms and conditions as may be stipulated in the sanction letter/s shall be binding on the respective parties.

II. ROLE OF NABARD :

NABARD agrees :

i) to provide the project cost as grant from FIF within the overall framework mentioned in the operational guidelines. The grant from FIF shall be released in instalments as per requirement subject to the progress of work in proportion to the grant utilised by (name of the bank) in the project/(s). The said guidelines shall be observed and followed by both the parties subject to such modifications or amendments as may be made by NABARD in consultation with the Advisory Board, an apex level policy making body under FIF.

ii) to support the promotional activities for credit dispensation, promotion of Self Help Groups (SHGs) of women, forest dwellers, landless labourers, SC/ST communities and other weaker sections of the society and other related activities in financial inclusion.

III. ROLE OF (name of the bank) :

i) (name of the bank)'s application shall constitute the basis of this GENERAL AGREEMENT FOR GRANT ASSISTANCE to provide grant assistance by NABARD and the (name of the bank) hereby confirms the correctness of each and every statement and particulars therein set forth.

ii) (name of the bank) further agrees / undertakes: -

- (a) to carry out each and every condition contained in the application submitted/shall be submitted by (name of the bank) for availing the grant assistance.
- (b) that the grant assistance made by NABARD shall be utilized for the purposes and in the manner set forth in its application read with sanction letter issued by NABARD, from time to time, and for no other purpose.
- (c) to be bound by the general terms and conditions of this GENERAL AGREEMENT FOR GRANT ASSISTANCE in toto and other special terms and conditions as mentioned in the particular/specific sanction letter issued by NABARD, from time to time.
- (d) to execute/cause to execute such documents as required by NABARD to carry out its obligations under this GENERAL AGREEMENT FOR GRANT ASSISTANCE and sanction letter(s) issued from time to time.
- (e) the grant assistance shall be released in instalment as per release schedule indicated in sanction letter.
- (f) to enter into an agreement with the agency/institution through whom it is implementing the project and such agreement shall contain the following :-

[f(i)] to furnish to NABARD all such information as NABARD may require from such agency/institution as well as from (name of the bank) from time to time and also submitting necessary financial data and/or statements as required by NABARD.

[f(ii)] to allow NABARD to verify such agency/institution's as well as the (name of the bank) books of accounts, vouchers, papers, documents, etc. and any other financial document/s pertaining to the project.

6. In the event of any misutilisation of funds or utilisation of funds for the purposes not specified in the sanction letter of NABARD, NABARD shall reserve the right to suspend disbursements of grants for project implementation and administration and demand refund of amount so misutilised from the (name of the bank)'s.

7. (name of the bank) agrees to provide all assistance and cooperation to take up jointly with NABARD for monitoring of the projects. The monitoring of projects could be every quarter or at periodicity as may be mutually agreed by NABARD and (name of the bank).

8. Either party may terminate this arrangement with three months prior notice in writing and after satisfactory arrangements for discharge of residual obligation of the terminating party is settled through mutual negotiations.

9. Notwithstanding anything contained in this GENERAL AGREEMENT FOR GRANT ASSISTANCE, it is expressly agreed by and between the parties hereto that NABARD shall have full right to terminate the Contract/Agreement forthwith if (name of the bank) commits breach of any of the terms and conditions of this GENERAL AGREEMENT FOR GRANT ASSISTANCE and sanction letter issued by NABARD from time to time.

10. The decision of NABARD that (name of the bank) has committed breach of any of the general terms and conditions of this GENERAL AGREEMENT FOR GRANT ASSISTANCE and special terms and conditions of sanction letter(s) shall be conclusive, final and binding on the (name of the bank) and agency/institution shall not question the same in any court, tribunal, etc.

11. The parties shall use their best efforts to settle amicably all the disputes arising out of or in connection with this agreement or its interpretation. Any disputes arising out of or in connection with this GENERAL AGREEMENT FOR GRANT ASSISTANCE, which can not be mutually settled, between the parties shall be referred to arbitration to sole arbitrator as mutually agreed in accordance with Arbitration and Conciliation Act, 1996. The arbitration proceedings shall be held at _____.

12. The rights and interests of (name of the bank) hereto shall not be transferred or assigned without the prior consent in writing of NABARD and any transfer or assignment without the consent of NABARD is not binding on it.

13. The data, processes and systems of the Financial Inclusion Programme shall remain the exclusive property of NABARD and shall not be shared/divulged in any form by (name of the bank) or the agency/institution unless specifically permitted in writing by NABARD.

14. Any notice required to be given under this GENERAL AGREEMENT FOR GRANT ASSISTANCE shall be served on the party at their respective addresses given below by hand delivery or by registered post.

The parties hereto have caused this GENERAL AGREEMENT FOR GRANT ASSISTANCE and a duplicate hereof to be signed on their respective behalf by their duly authorised officials on the date and place first herein above mentioned.

SIGNED AND DELIVERED for and on behalf of
NABARD by the hand of its duly authorized official
Shri _____
this ____ day of _____ 2014

In the presence of : -

1)

2)

SIGNED AND DELIVERED for and on behalf of _____ (name of the bank)
_____ by the hand of its duly authorized official

Shri _____

this ____ day of _____ 2014

In the presence of : -

1)

2)

Format for FITF

GENERAL AGREEMENT FOR GRANT ASSISTANCE

THIS GENERAL AGREEMENT FOR GRANT ASSISTANCE executed at onday ofTwo thousand and

BETWEEN

National Bank for Agriculture and Rural Development, a Statutory Corporation established under the National Bank for Agriculture and Rural Development Act, 1981 and having its Head Office at Plot No. C-24, G-Block, Bandra-Kurla Complex, Bandra (East), Mumbai - 400051, and one of its Regional offices at _____ represented by its hereinafter referred to as “NABARD” (which expression shall, unless repugnant to the context or meaning thereof, includes its successors and assigns) **OF THE FIRST PART**

AND

_____ a Bank incorporated/established under _____ and having its registered / Head office at _____ hereinafter referred to as “the _____” (which expression shall, unless repugnant to the context or meaning, includes its successors and assigns) **OF THE SECOND PART**

WHEREAS

1. Union Finance Minister, in his budget speech for the Financial year 2007-08, announced creation of a Financial Inclusion Technology Fund (FITF) with an overall corpus of Rs.500 crore, with initial funding to be contributed by the Government of India (GoI), Reserve Bank of India (RBI) and NABARD in a ratio of 40:40:20 to enhance investment in Information Communication Technology (ICT) aimed at promoting financial inclusion, stimulate the transfer of research and technology in financial inclusion, increase the technological absorption

capacity of financial service providers / users and encourage an environment of innovation and cooperation among stake holders (hereinafter referred to as “**Technology Intervention for Financial Inclusion Programme**”).

2. Pursuant thereto, NABARD established fund in NABARD known as a Financial Inclusion Technology Fund, inter-alia, to provide grant assistance to eligible institutions engaged in **Technology Intervention for Financial Inclusion Programme** and also formulated Financial Inclusion Technology Fund Guidelines (hereinafter referred to as “**guidelines**”) for implementation of **Technology Intervention for Financial Inclusion Programme**. Copy of the guidelines is annexed herewith as “**Annexure I, II & III**” and shall be read as part and parcel of this GENERAL Agreement FOR GRANT ASSISTANCE.

3. (name of the bank) having extensive experience and expertise in the matter of conceptualization and implementation of **Technology Intervention for Financial Inclusion Programme** approached NABARD with a request to sanction to grant assistance for implementing **Technology Intervention for Financial Inclusion Programme**.

4. NABARD is agreeable to sanction to the (name of the bank), grant assistance for the aforesaid **Technology Intervention for Financial Inclusion Programme** subject to the general terms and conditions as mentioned in this GENERAL AGREEMENT FOR GRANT ASSISTANCE and the special terms and conditions as mentioned in the sanction letter(s) issued by NABARD from time to time.

5. For the purpose of Financial Inclusion Programme, NABARD has right to sanction proposals as submitted by (name of the bank), with condition(s) as NABARD think fit for the proper utilization of grant and same shall be binding on the SECOND PARTY.

WHEREAS the parties are desirous of executing GENERAL AGREEMENT FOR GRANT ASSISTANCE with a view to record the broad terms and conditions mutually agreed to, by and between them subject to working out the modalities / manner and terms of implementation in due course as may be agreed between the parties.

NOW THEREFORE THIS MEMORANDUM OF UNDERSTANDING

WITNESSETH THAT

Inconsideration of NABARD having provided grant assistance / agreed to provide, from time to time, grant assistance to the (name of the bank), to enable the (name of the bank) to carry out the purpose for which the said grant assistance is provided (**Technology Intervention for**

Financial Inclusion Programme), the parties hereby agree to record and confirm the terms and conditions contained hereinafter upon which the grant assistance is /shall be given on the general terms and conditions as contained in this **GENERAL AGREEMENT FOR GRANT ASSISTANCE** and special terms and conditions as mentioned in the respective sanction letter.

I. It is agreed that :

(a) The copy of the guidelines annexed herewith as "**Annexure I, II & III**" shall be treated as part and parcel of this **GENERAL AGREEMENT FOR GRANT ASSISTANCE**.

(b) Apart from the terms and conditions given in this agreement, specific terms and conditions as may be stipulated in the sanction letter/s shall be binding on the respective parties.

II. ROLE OF NABARD :

NABARD agrees :

i) to provide the project cost as grant from FITF within the overall framework mentioned in the operational guidelines. The grant from FITF shall be released in instalments as per requirement subject to the progress of work in proportion to the grant utilised by (name of the bank) in the project/(s). The said guidelines shall be observed and followed by both the parties subject to such modifications or amendments as may be made by NABARD in consultation with the Advisory Board, an apex level policy making body under FITF.

ii) to support the promotional activities for credit dispensation, promotion of Self Help Groups (SHGs) of women, forest dwellers, landless labourers, SC/ST communities and other weaker sections of the society and other related activities in financial inclusion.

III. ROLE OF (name of the bank) :

i) (name of the bank)'s application shall constitute the basis of this **GENERAL AGREEMENT FOR GRANT ASSISTANCE** to provide grant assistance by NABARD and the (name of the bank) hereby confirms the correctness of each and every statement and particulars therein set forth.

ii) (name of the bank) further agrees / undertakes: -

- (a) to carry out each and every condition contained in the application submitted/shall be submitted by (name of the bank) for availing the grant assistance.
- (b) that the grant assistance made by NABARD shall be utilized for the purposes and in the manner set forth in its application read with sanction letter issued by NABARD, from time to time, and for no other purpose.
- (c) to be bound by the general terms and conditions of this General Agreement for Grant Assistance in toto and other special terms and conditions as mentioned in the particular / specific sanction letter issued by NABARD, from time to time.
- (d) to execute/cause to execute such documents as required by NABARD to carry out its obligations under this GENERAL AGREEMENT FOR GRANT ASSISTANCE and sanction letter(s) issued from time to time.
- (e) the grant assistance shall be released in instalment as per release schedule indicated in the sanction letter.
- (f) to enter into an agreement with the agency/institution through whom it is implementing the project and such agreement shall contain the following :-

[f(i)] to furnish to NABARD all such information as NABARD may require from such agency/institution as well as from (name of the bank) from time to time and also submitting necessary financial data and/or statements as required by NABARD.

[f(ii)] to allow NABARD to verify such agencies' as well as the (name of the bank) books of accounts, vouchers, papers, documents, etc. and any other financial document/s pertaining to the project.

6. In the event of any misutilisation of funds or utilisation of funds for the purposes not specified in the sanction letter of NABARD, NABARD shall reserve the right to suspend disbursements of grants for project implementation and administration and demand refund of amount so misutilised from the (name of the bank).

7. (name of the bank) agrees to provide all assistance and cooperation to take up jointly with NABARD for monitoring of the projects. The monitoring of projects could be every quarter or at periodicity as may be mutually agreed by NABARD and (name of the bank).

8. Either party may terminate this arrangement with three months prior notice in writing and after satisfactory arrangements for discharge of residual obligation of the terminating party is settled through mutual negotiations.

9. Notwithstanding anything contained in this **GENERAL AGREEMENT FOR GRANT ASSISTANCE**, it is expressly agreed by and between the parties hereto that NABARD shall have full right to terminate the contract/agreement forthwith if (name of the bank) commits breach of any of the terms and conditions of this agreement and sanction letter issued by NABARD from time to time.

10. The decision of NABARD that (name of the bank) has committed breach of any of the general terms and conditions of this agreement and special term and condition of sanction letter(s) shall be conclusive, final and binding on (name of the bank) and agency/institution shall not question the same in any court, tribunal, etc.

11. The parties shall use their best efforts to settle amicably all the disputes arising out of or in connection with this agreement or its interpretation. Any disputes arising out of or in connection with this agreement, which can not be mutually settled, between the parties shall be referred to arbitration to sole arbitrator as mutually agreed in accordance with Arbitration and Conciliation Act, 1996. The arbitration proceedings shall be held at _____.

12. The rights and interests of (name of the bank) hereto shall not be transferred or assigned without the prior consent in writing of NABARD and any transfer or assignment without the consent of NABARD is not binding on it.

13. The data, processes and systems of the Technology Intervention for Financial Inclusion Programme shall remain the exclusive property of NABARD and shall not be shared / divulged in any form by (name of the bank) or the agency/institution unless specifically permitted in writing by NABARD.

14. Any notice required to be given under this agreement shall be served on the party at their respective addresses given below by hand delivery or by registered post.

The parties hereto have caused this Memorandum of Understanding and a duplicate hereof to be signed on this respective behalf by their duly authorised officials on the date and place first herein above mentioned.

SIGNED AND DELIVERED for and on behalf of

NABARD by the hand of its duly authorized official

Shri _____

this ____ day of _____ 2014

In the presence of : -

1)

2)

SIGNED AND DELIVERED for and on behalf of _____(name of the bank)
_____ by the hand of its duly authorized official

Shri _____

this ____ day of _____ 2014

In the presence of : -

1)

2)